GOVERNMENT OF INDIA - MINISTRY OF COMMERCE AND INDUSTRY / MINISTRY OF FINANCE
OPERATIONAL GUIDELINES: SECTION 80-IAC TAX EXEMPTION FOR STARTUPS (80-IAC) / DPIIT / INTER-MINISTERIAL

1. Overview & Objective:
100% income tax deduction on profits and gains for 3 consecutive financial years out of the first 10 years since incorporation for eligible innovative startups.

2. Eligibility Criteria:
1. Incorporated as a Private Limited Company or LLP between April 1, 2016 and March 31, 2025 (or as extended in Finance Act).
2. Total turnover should not exceed Rs. 100 Crore in any of the previous financial years.
3. Entity must be certified by the Inter-Ministerial Board (IMB) of Certification as an innovative business working towards innovation, development or improvement of products or processes.
4. Company should not be formed by splitting up or reconstruction of an existing business.

3. Financial Assistance and Subsidy:
1. 100% tax holiday on corporate income profits for any 3 consecutive assessment years chosen by the startup within its first 10 years.
2. Concession or margin money subsidy rate of 100.0 % subsidy.

4. Mandatory Documents Checklist:
1. DPIIT Certificate of Recognition
2. Memorandum of Association (MoA) and Articles of Association (AoA)
3. Audited Balance Sheets, P&L statements, and ITR for the last 3 financial years (or since incorporation)
4. Pitch deck and product video demonstrating innovation, IP, and high commercial potential

5. Application Procedure:
1. Mode: Online application via Startup India Portal to Inter-Ministerial Board (IMB)
2. Official Portal: https://www.startupindia.gov.in/content/sih/en/tax-exemptions.html